Ch. 27 CW #1

Principles of Macroeconomics

February 17, 2026

27.2. S and I in the National Income Accounts

1. If the government collect more in tax revenue than it spends, and households consume more than they get in after-tax income, then

   (a) private saving and public saving are both positive.

   (b) private saving and public saving are both negative.

   (c) private saving is positive, but public saving is negative.

   (d) private saving is negative, but public saving is positive.

2. A closed economy has income of $1,000, government spending of $200, taxes of $150, and investment of $250. What is private saving?

   (a) $100

   (b) $200

   (c) $300

   (d) $400

3. Which of the following situations represent investment and which represent saving? Explain.

   (a) Your family takes out a mortgage and buys a new house.

   (b) You use your $200 paycheck to buy stock in AT&T.

   (c) Your roommate earns $100 and deposits it in an account at a bank.

   (d) You borrow $1,000 from a bank to buy a car to use in your pizza delivery business.

4. Suppose GDP is $8 trillion, taxes are $1.5 trillion, private saving is $0.5 trillion, and public saving is $0.2 trillion. Assuming this economy is closed, calculate consumption, government purchases, national saving, and investment.

27.3. The Market for Loanable Funds

1. The government institutes an investment tax credit – a tax reduction for any firm that buys capital goods. What effect does the policy have on the market for loanable funds? Please use a supply and demand diagram in your response.

2. The government starts with a balanced budget, but then increases its spending so that it's running a budget deficit.

   (a) What effect does the budget deficit have on national saving?

   (b) What effect does the policy have on the market for loanable funds? Please use a supply and demand diagram in your response.

   (c) You should have found that an increased budget deficit decreased investment. We call this phenomenon crowding out because when the government borrows to finance its deficit, it crowds out private borrowers financing investment. The Republican party used to cite crowding out regularly when they advocated for spending cuts.

3. If a popular TV show on personal finance convinces Americans to save more for retirement, the _____ curve for loanable funds would shift, driving the equilibrium interest rate _____.

   (a) supply; up

   (b) supply; down

   (c) demand; up

   (d) demand; down

4. If the business community becomes more optimistic about the profitability of capital, the _____ curve for loanable funds would shift, driving the equilibrium interest rate _____.

   (a) supply; up

   (b) supply; down

   (c) demand; up

   (d) demand; down

5. Which of the following policy actions would unambiguously reduce the supply of loanable funds and crowd out investment?

   (a) an increase in taxes and a decrease in government spending

   (b) a decrease in taxes together with an increase in government spending

   (c) an increase in both taxes and government spending

   (d) a decrease in both taxes and government spending